

Contract & Building/Pest Inspection Red Flags — ACT

What to check before you're legally committed.

Correct as at July 2026. General information only, not legal advice — always have a conveyancer or solicitor review your specific contract before signing.

Section 1 — Understanding ACT Contract Fundamentals

- ☐ [] **Understand ACT properties are leasehold, not freehold.** You're buying a Crown lease (typically 99 years) rather than freehold title — your conveyancer should confirm any lease-specific conditions or restrictions relevant to your purchase.
- ☐ [] **Check the seller's disclosure documents.** ACT sale contracts typically require certain disclosure documents to be attached before the contract is signed — your conveyancer should confirm these are complete and accurate.
- ☐ [] **Understand the cooling-off period.** You generally get **5 business days** from exchange to withdraw on a private treaty sale, under the Civil Law (Sale of Residential Property) Act 2003 (ACT).

Section 2 — Building & Pest Inspection: Non-Negotiables

- ☐ [] **Book the inspection within your cooling-off window (private treaty) or before auction day.** There's no cooling-off period at auction.
- ☐ [] **Use a licensed, independent inspector,** not one exclusively recommended by the selling agent without your own due diligence.
- ☐ [] **Get both a building and pest inspection,** ideally combined.
- ☐ [] **Ask specifically about:** structural issues, rising damp, roof condition, insulation quality (genuinely relevant given Canberra's cold winters), asbestos (common in pre-1990s homes, and Canberra has a well-documented history of "Mr Fluffy" loose-fill asbestos insulation in some older homes — ask specifically whether the property has ever been assessed), and general electrical/plumbing age.
- ☐ [] **Ask specifically whether the property has any history connected to the Loose-Fill Asbestos Insulation Eradication Scheme** if it's an older Canberra home — this is a genuinely ACT-specific due diligence item worth raising directly with your conveyancer.
- ☐ [] **Get the report in writing within your cooling-off window.**

Section 3 — Contract Fundamentals

- ☐ [] **Check special conditions carefully** — these can vary standard buyer protections.
- ☐ [] **Confirm finance clause terms** if you're not fully pre-approved.
- ☐ [] **Confirm the settlement date** works with your finance, insurance, and moving logistics.
- ☐ [] **Confirm deposit terms** — amount, due date, and where it's held.
- ☐ [] **Confirm all expected inclusions are explicitly listed** in the contract.
- ☐ [] **If buying a unit-titled property, review the owners corporation records** — recent meeting minutes, financials, sinking fund balance, and any known disputes or special levies.

Section 4 — Before You Sign or Bid: Final Checks

- ☐ [] **Have a conveyancer or solicitor review the contract before you sign or bid.**
- ☐ [] **Confirm your cooling-off rights apply** and understand the 0.25% exit cost if you withdraw.
- ☐ [] **Think carefully before agreeing to waive your cooling-off period** — it's possible via solicitor's certificate, but removes a genuine protection.
- ☐ [] **Confirm your stamp duty exemption is being correctly applied under the current (post-1 July 2026) uncapped settings,** not outdated figures.

Quick Reference — Key ACT Contract Protections

PROTECTION	WHAT IT MEANS
Cooling-off period	5 business days, private treaty only — 0.25% penalty to withdraw
Auction	No cooling-off period
Cooling-off waiver	Possible via solicitor's certificate — think carefully before agreeing
Leasehold land	ACT properties are Crown leasehold, not freehold
Building/pest inspection	Not automatically provided — arrange your own

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